

US ECONOMICS ANALYST

Mid-Year Housing Outlook: Stabilizing but Subdued

- Residential investment faltered in the first half of the year on the back of particularly poor weather and a sharp rebound in mortgage rates: after declining 8% annualized in Q1, residential fixed investment fell 5% annualized in Q2, we estimate. In this *Analyst*, we review our key forecasts for the housing market for the rest of the year.
- Sustained higher mortgage rates will continue to have their most pronounced impact on housing turnover. Almost 80% of mortgage borrowers have interest rates below current market rates, and almost 60% have rates 2pp below market rates, strongly disincentivizing them from moving. As a result, we expect annualized existing home sales of just 4.2mn in 2026H2, 3% above the pace of 2026H1 but 22% below 2019.
- The longstanding housing shortage has kept single-family homebuilding extremely resistant to higher interest rates, but normalizing supply-demand balances and margins for homebuilders have led to a moderate slowdown in single-family housing starts. Single-family starts have declined by 2% so far this year compared to last year but have averaged 4% above 2019 levels despite 3pp higher mortgage rates today. We expect single-family housing starts to total 0.92mn this year (vs. 0.94mn in 2025) and to end the year around a 0.93mn annualized pace.
- We expect housing demand to remain tepid. On the positive side, domestic demographic trends remain supportive, and survey-based measures of purchase intentions have improved. But on the negative side, reduced immigration will continue to weigh on household formation, and income growth is poor. The combination of still-solid supply growth and slightly weaker demand should push the homeowner vacancy rate higher, we estimate from 1.1% in 2026Q1 to 1.2% in 2026Q4 and 1.3% in 2027. Against the backdrop of an easing housing market, we expect national home prices to rise just 0.8% December-over-December this year and 2.3% next year.
- Multifamily construction is likely to fall further, albeit at a slower pace. The backlog of multifamily units already under construction has contracted by 33% but is still 9% greater than in 2019. Multifamily starts have rebounded as a result but are running somewhat below the pace of completions, and we expect the backlog to fall back to pre-pandemic levels next year.

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- With new lease rents growing just 1-2% over the last year and the gap between rents for new and continuing leases having already narrowed beyond its pre-pandemic level, we expect monthly PCE shelter inflation to average just 0.19% over the rest of this year and for the year-on-year rate to fall from 3.2% today to 2.9% by December 2026 and 2.2% by December 2027.
- We forecast residential fixed investment (RFI) growth of -1.5% and +1.5% annualized in 2026Q3-Q4, reflecting a drag from multifamily homebuilding that is offset by growth in renovations spending and slightly higher home sales. This implies RFI growth of -3.2% in 2026 on a Q4/Q4 basis vs. -3.8% in 2025 and our previous forecast of -3.0%.

Mid-Year Housing Outlook: Stabilizing but Subdued

Residential investment faltered in the first half of the year on the back of particularly poor weather and a sharp rebound in mortgage rates: after declining 8% annualized in Q1, residential fixed investment fell 5% annualized in Q2, we estimate. In this *Analyst*, we review our key forecasts for the housing market for the rest of the year.

Exhibit 1: GS Housing Forecasts

Indicator	Housing Forecasts									
	2024	Annual Average			2025		2026			
		2025	2026	2027	Q3	Q4	Q1	Q2	Q3	Q4
Real Residential Fixed Investment (QoQ ar)*	1.3	-3.8	-3.3	2.1	-7.1	-1.7	-7.8	-5.1	-1.5	1.5
Housing Starts (Thous. SAAR)	1,370	1,356	1,347	1,372	1,347	1,323	1,418	1,299	1,323	1,348
<i>Single-family Starts (Thous. SAAR)</i>	1,015	941	921	948	890	923	945	900	910	930
<i>Multifamily Starts (Thous. SAAR)</i>	355	415	426	424	458	401	473	399	413	418
Existing Home Sales (Thous. SAAR)	4,067	4,076	4,168	4,255	4,047	4,157	4,053	4,160	4,226	4,234
New Home Sales (Thous. SAAR)	684	679	631	649	687	711	623	590	649	661
Homeowner Vacancy Rate (%)**	1.1	1.2	1.2	1.3	1.2	1.2	1.1	1.1	1.1	1.2
Case-Shiller Home Price Index (QoQ ar)***	4.1	1.2	0.8	2.3	-0.2	3.5	2.1	-0.8	1.6	1.6

Note: Published figures in bold. Red, italicized numbers denote GS forecasts.

* Annual values are Q4/Q4. ** Annual values are EOP.

*** Annual values are the seasonally adjusted year-over-year rates for December.

Source: Goldman Sachs Global Investment Research

No Keys for Golden Handcuffs

The outlook for the economy's most interest rate sensitive sector is largely a function of the outlook for mortgage rates. Exhibit 2 shows that mortgage rates rebounded in March in response to the Iran War, higher oil prices, and the prospect of Fed hikes. Our strategists expect mortgage rates to remain elevated for the foreseeable future, remaining around current levels (6.43%) through yearend before moderating slightly next year (6.3%), reflecting our dovish forecast for the Fed.

Exhibit 2: Our Strategists Expect Mortgage Rates to Remain Elevated, Falling Only From 6.43% Today to 6.3% by the End of Next Year

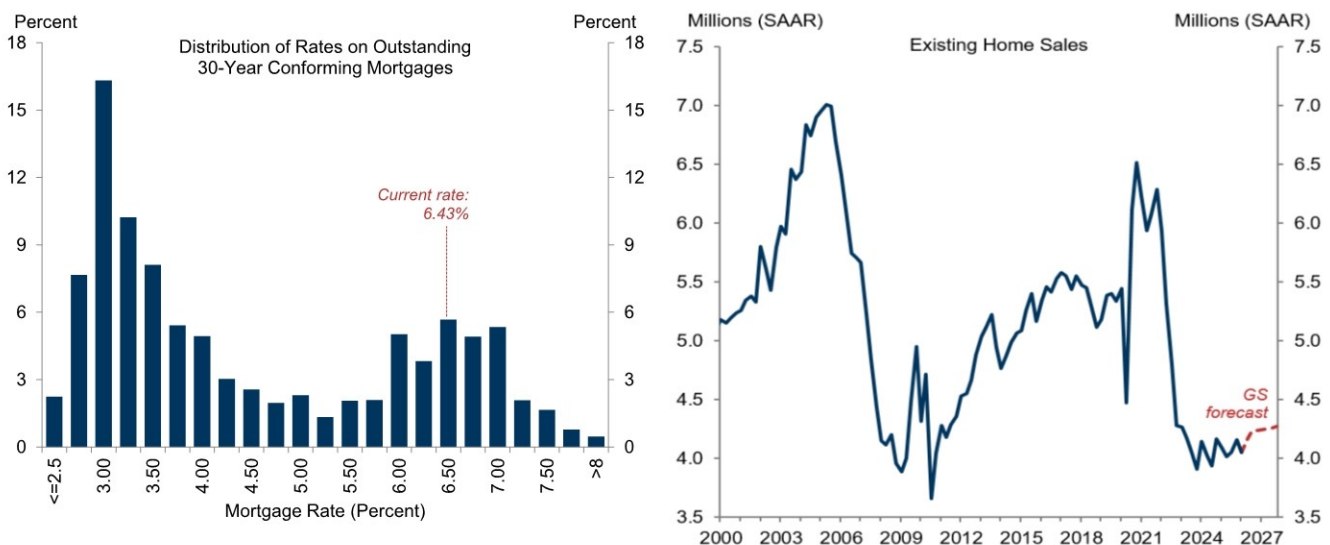


Source: Freddie Mac, Goldman Sachs Global Investment Research

Sustained higher mortgage rates will continue to have their most pronounced impact on housing turnover. The left panel of Exhibit 3 shows that almost 80% of mortgage borrowers have interest rates below current market rates, and almost 60% have rates more than 2pp below market rates. The combination of mortgage borrowers refinancing at low rates en masse in 2020 and 2021 and the high current level of mortgage rates has created a significant financial cost to moving, as buying a new home would require homebuyers to prepay their current mortgage and take out a new mortgage at a significantly higher rate. As a result of this “lock-in” effect, we expect existing home sales to total just 4.2mn in 2026, 22% below 2019 levels but a touch above the pace of the last two years. Next year, we expect existing home sales to edge up to roughly 4.3mn, reflecting both modestly lower mortgage rates and the natural decay of the lock-in effect that comes from, for example, borrowers paying down their mortgage.

While a modest rebound in the pace of existing home sales would boost the gross supply of available homes, it would have limited implications for net housing supply and the longstanding—but moderating, as discussed below—nationwide housing shortage, as households are often simply switching between housing units and no housing units are created or destroyed. Still, turnover has meaningful implications for GDP, as more existing home sales boost residential fixed investment via brokers’ commissions (which hold a 15% weight in RFI).

Exhibit 3: Almost 80% of Borrowers Have Mortgage Rates Below Current Market Rates; We Expect Existing Home Sales to Rebound Only Modestly Over the Next Couple of Years



Source: eMBS, National Association of Realtors (NAR), Goldman Sachs Global Investment Research

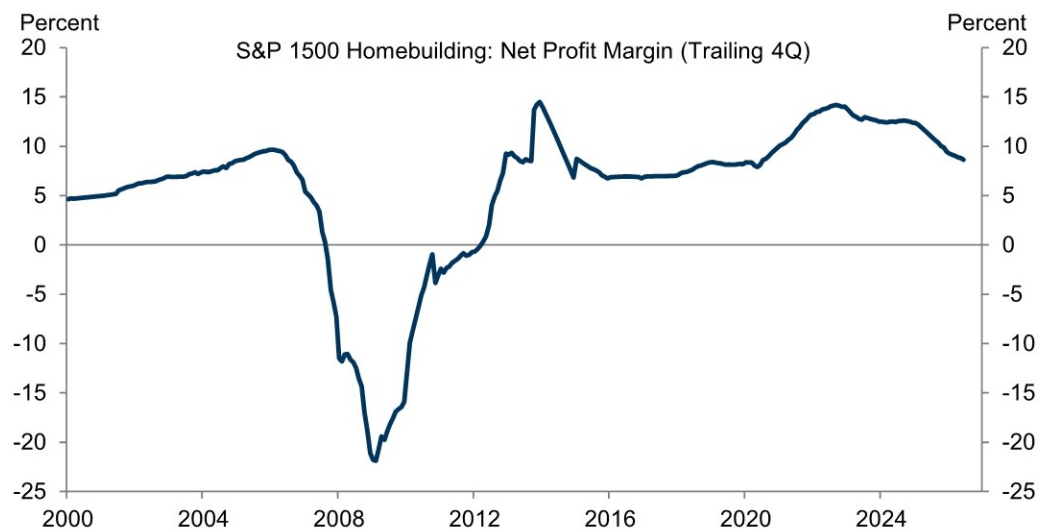
Single-family Homebuilding: Slightly Less Support From the Shortage

The longstanding housing shortage has kept single-family homebuilding extremely resistant to higher interest rates. The elevated pace of homebuilding in recent years has improved supply-demand balances, albeit they remain at levels that are still historically tight (Exhibit 4).

Exhibit 4: The Supply of Available Housing Has Improved But Remains Tight by Historical Standards

Source: Department of Commerce, National Association of Realtors (NAR), Goldman Sachs Global Investment Research

That improvement, along with the corresponding compression of margins for homebuilders back to pre-pandemic levels (Exhibit 5), has contributed to a moderate slowdown in single-family housing starts. Single-family starts have declined by 2% so far this year compared to last year but because of the still-tight housing market have averaged 4% above 2019 levels despite 3pp higher mortgage rates today. Looking ahead, we expect single-family housing starts to total 0.92mn this year (vs. 0.94mn in 2025) and to end the year around a 0.93mn annualized pace. This view is similar to the signal from equity analyst expectations, a proxy for corporate guidance, for units delivered by homebuilders this year.

Exhibit 5: Homebuilder Margins Are Approaching Pre-pandemic Levels

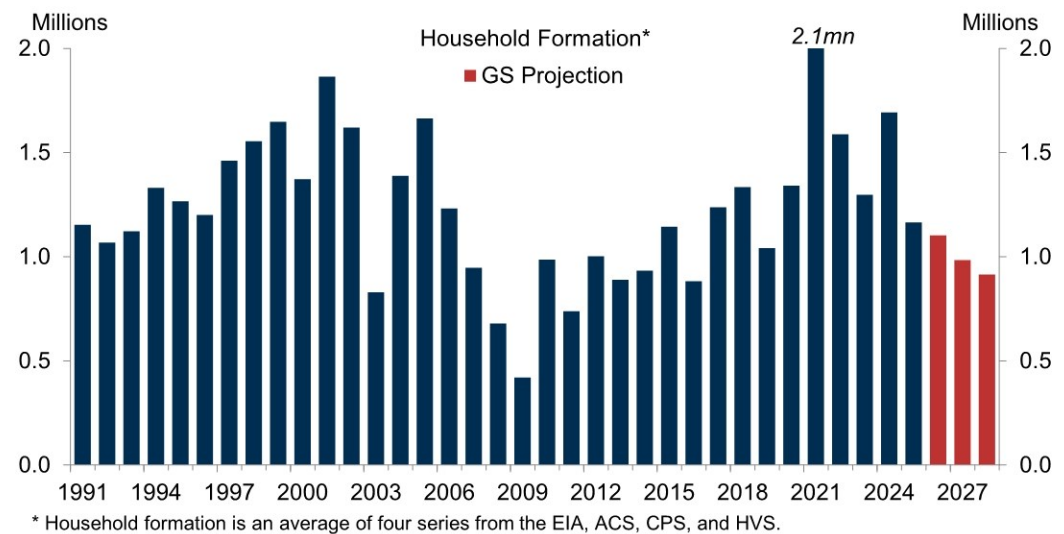
Source: Company data, Goldman Sachs Global Investment Research

We expect housing demand to remain tepid. On the positive side, domestic demographic trends remain supportive and survey-based measures of purchase

intentions (such as the measure from Conference Board that asks respondents whether they plan on purchasing a home within six months) have improved over the last year.

But on the negative side, income growth is poor and reduced immigration will continue to weigh on household formation. Exhibit 6 shows our model of household formation that combines projections of headship rates (the share of people who are heads of a household) by age group with Census projections of population growth by age group that we have then adjusted for reduced immigration. This approach yields an estimated rate of household formation of about 1.0mn per year for the next few years, below the recent trend.

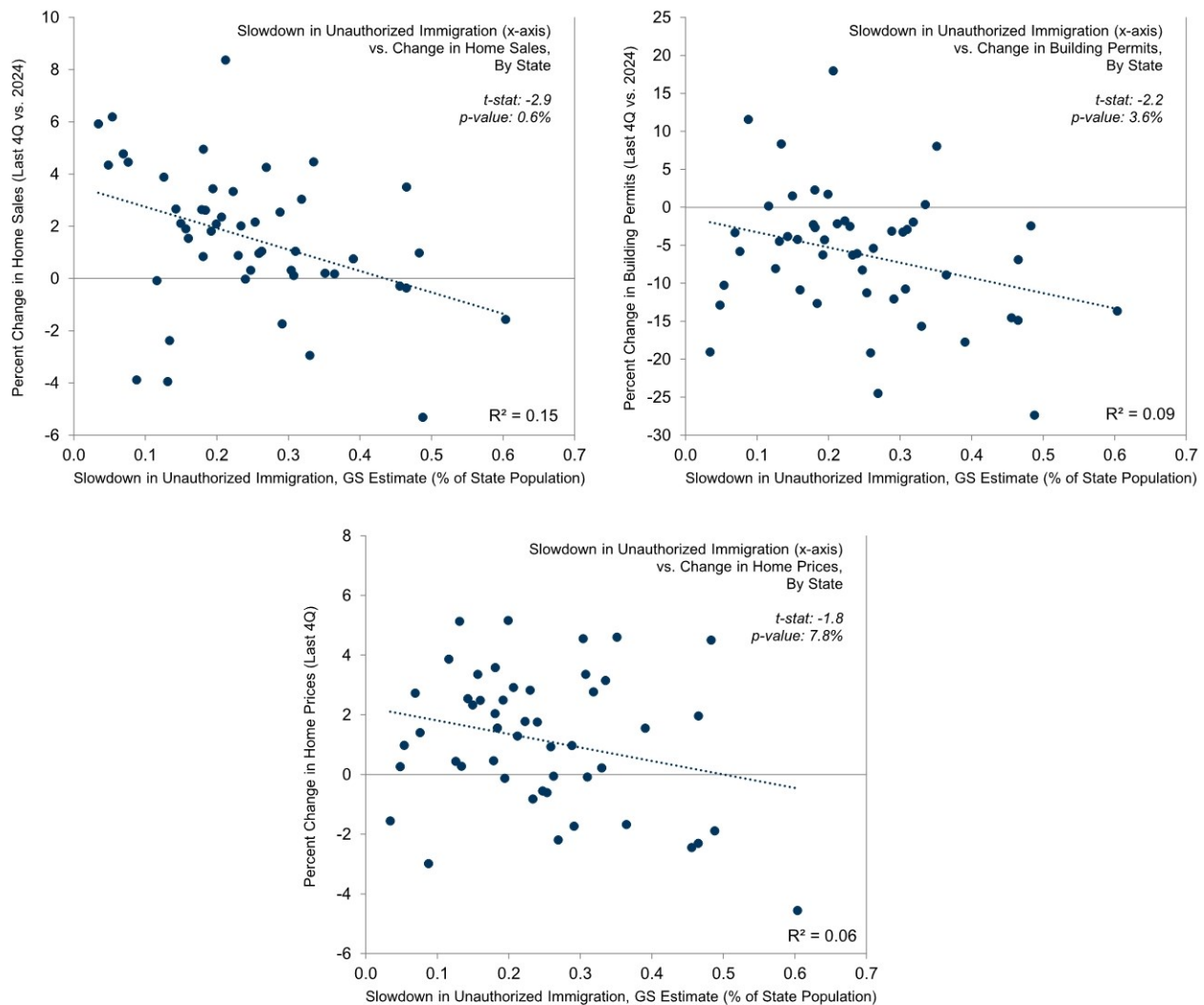
Exhibit 6: While Domestic Demographic Trends Support Household Formation, Reduced Immigration Will Continue to Weigh on Household Formation



Source: Goldman Sachs Global Investment Research

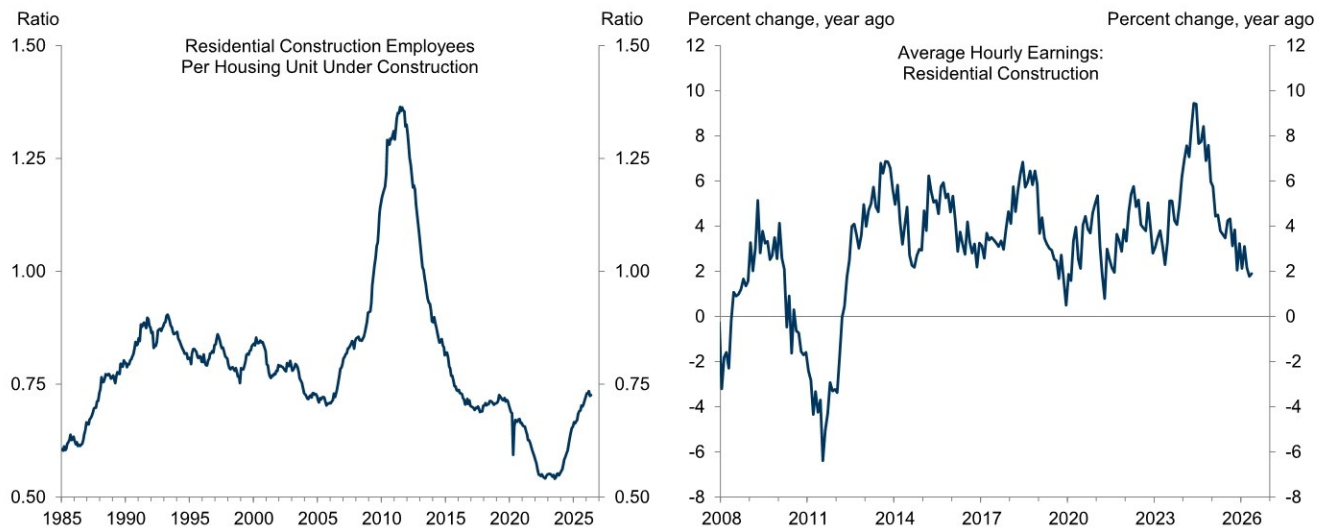
The combination of still-elevated supply growth and slightly weaker demand should continue to push the homeowner vacancy rate higher, we estimate from 1.1% in 2026Q1 to 1.2% in 2026Q4 and 1.3% in 2027. Against the backdrop of an easing housing market, we expect national home prices to rise just 0.8% December-over-December this year and 2.3% next year.

What impact has the slowdown in immigration since 2025 had on housing supply, housing demand, and their balance? Combining our state-level estimates of unauthorized immigration based on court case data with state-level housing outcomes, we find that the states that experienced greater slowdowns in unauthorized immigration between 2024 and 2025 have had both weaker home sales and homebuilding (Exhibit 7, top panels). We also find that home price growth has been weaker in states with a greater immigration slowdown (bottom panel), suggesting a slightly greater hit to demand than supply. However, the relationship with home prices has only borderline statistical significance, and we did not find a meaningful relationship between slowdowns in immigration and changes in vacancy rates.

Exhibit 7: States With Greater Slowdowns in Immigration Have Seen Weaker Home Sales, Homebuilding, and Home Prices

Source: Goldman Sachs Global Investment Research

Is a smaller supply impact surprising, given that the sector relies disproportionately on the labor of unauthorized immigrants? Perhaps not, for two reasons. First, our past metro-level analysis found that unlike the prices of other goods and services, changes in immigration had a positive relationship with rent prices (i.e., lower immigration puts downward pressure on rents), likely reflecting that housing supply is inelastic in the short term. Second, Exhibit 8 shows that the shortage of residential construction workers has sharply moderated over the last two years, likely making the labor supply hit from reduced immigration less consequential today than it might have been a few years ago.

Exhibit 8: Residential Construction No Longer Appears Understaffed; Wage Growth in the Sector Has Slowed

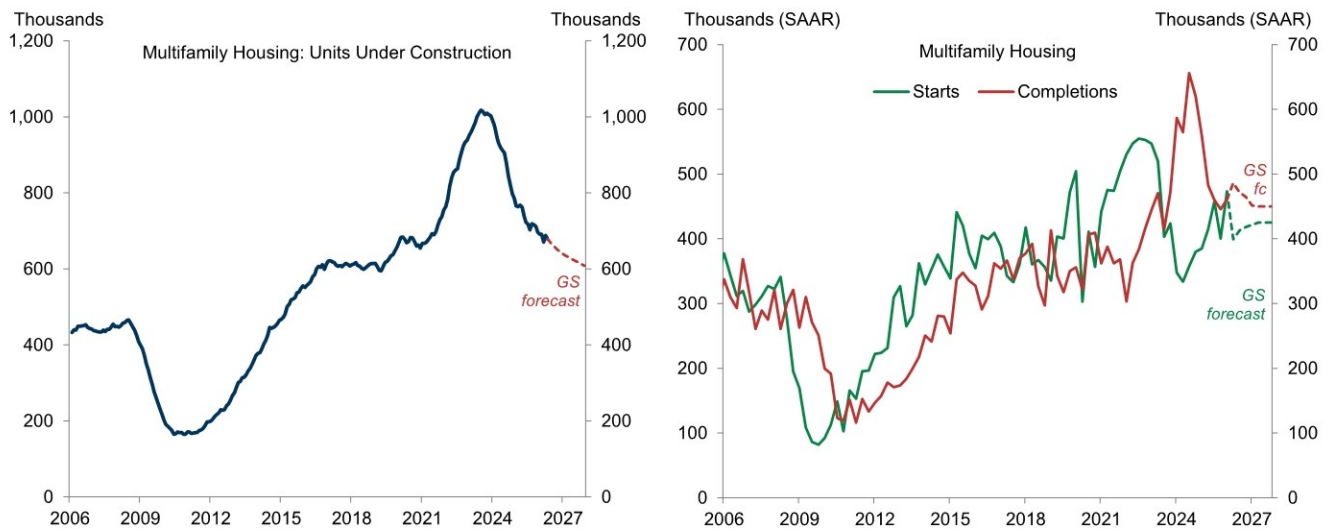
Source: Department of Labor, Department of Commerce, Goldman Sachs Global Investment Research

Multifamily Homebuilding: Still Slowing

Multifamily construction is likely to fall further, albeit at a slower pace. Exhibit 9 shows that the backlog of multifamily units under construction has already declined 33% after peaking 63% above 2019 levels, as the pace of completions has remained elevated after jumping to multi-decade highs in 2024-2025 while the pipeline for new projects narrowed.

With a backlog that remains 9% greater than in 2019 and poor absorption rates pushing up the rental vacancy rate from a trough of 5.6% to 7.3%, we expect multifamily developers to continue to focus on clearing that large backlog before breaking new ground, albeit less uniformly than over the last couple of years because the backlog has shrunk. We forecast that multifamily starts will total 0.43mn in 2026 vs. 0.41mn in 2025 and 0.36mn in 2024. Combined with our expectation for single-family starts, we expect total housing starts to move roughly sideways year-over-year, totaling 1.35mn in 2026 vs. 1.36mn in 2025.

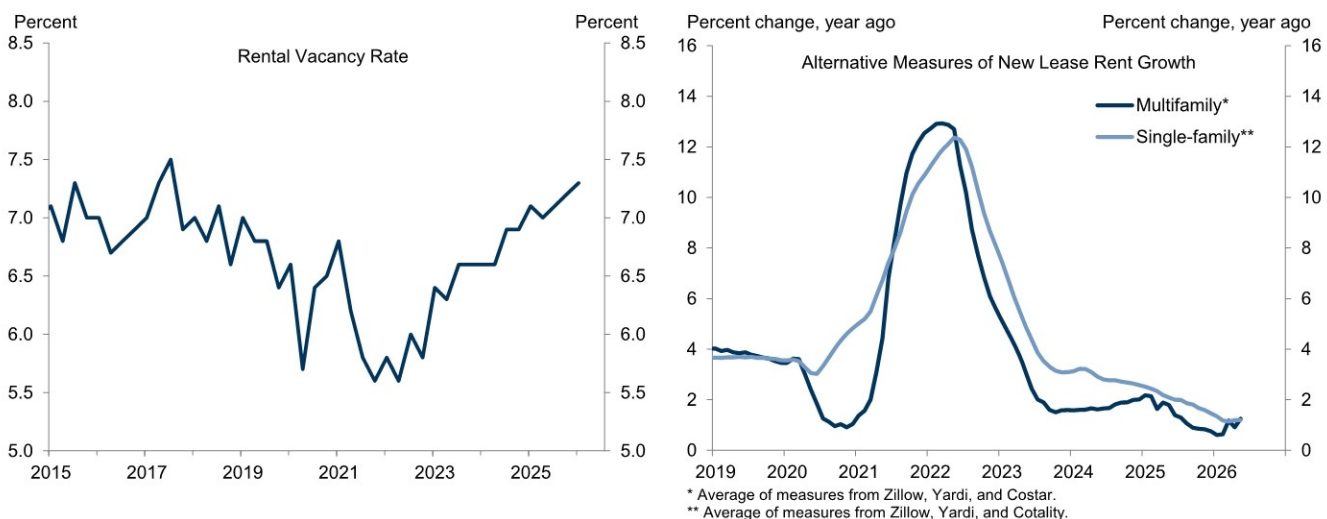
Exhibit 9: Most of the Backlog of Multifamily Units Under Construction Has Cleared, Allowing Multifamily Starts to Rebound



Source: Department of Commerce, Goldman Sachs Global Investment Research

The combination of strong multifamily completions and slightly softer demand is likely to contribute to modest further increases in the rental vacancy rate (Exhibit 10, left panel) and weigh on new-lease rent growth. The right panel of Exhibit 10 shows that alternative measures of new-lease rent growth have slowed from a peak pace of +12-13% in 2022 to around +1% today. Our model of new-lease rent growth projects 2-3% annualized increases over the next couple of years, somewhat below the pre-pandemic rate.

Exhibit 10: Rising Rental Vacancy Rates Have Put Downward Pressure on New-Lease Rent Growth

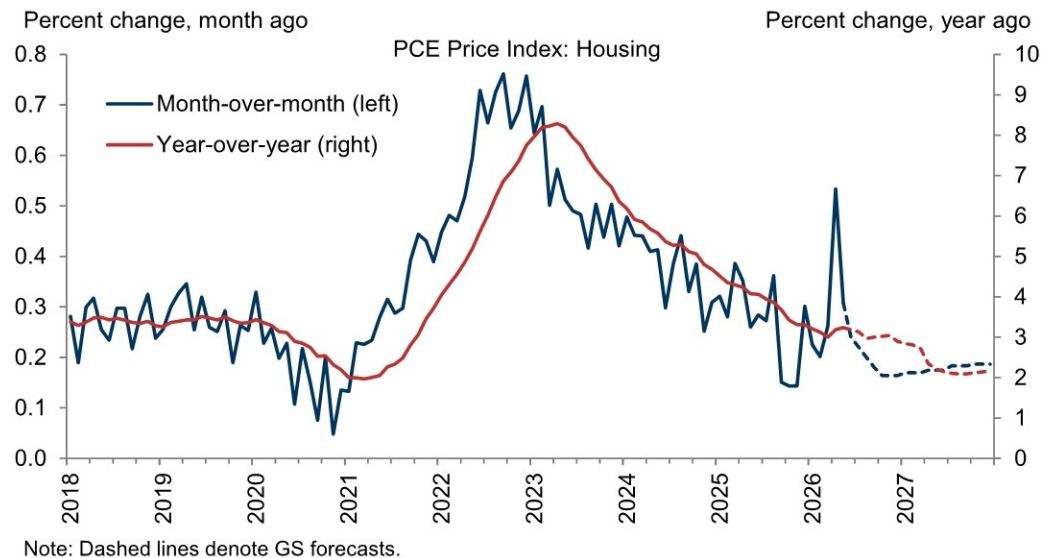


Source: Department of Commerce, Goldman Sachs Global Investment Research

In addition to the forward pace of new-lease rent growth, the outlook for the official measures of shelter inflation in the CPI and PCE reports depends crucially on the gap between rents for new and continuing leases. After growing sharply in 2021 and 2022, we estimate the gap is now 2-3% *narrower* than it was pre-pandemic, as the slower pace of new-lease rent growth over the last few years has allowed continuing-lease rents to more than fully catch up.

Official shelter inflation has already slowed from a peak monthly rate of 0.76% in 2022 to 0.23% in the first quarter of this year (the April and May readings appear to have been boosted by separate distortions). We expect monthly shelter inflation to slow to an average of 0.19% over the rest of this year and 0.18% next year. Our forecasts imply that the year-on-year rate of PCE housing inflation will fall from 3.2% today to 2.9% by December 2026 and 2.2% by December 2027, which would mark the slowest pace since 2013.

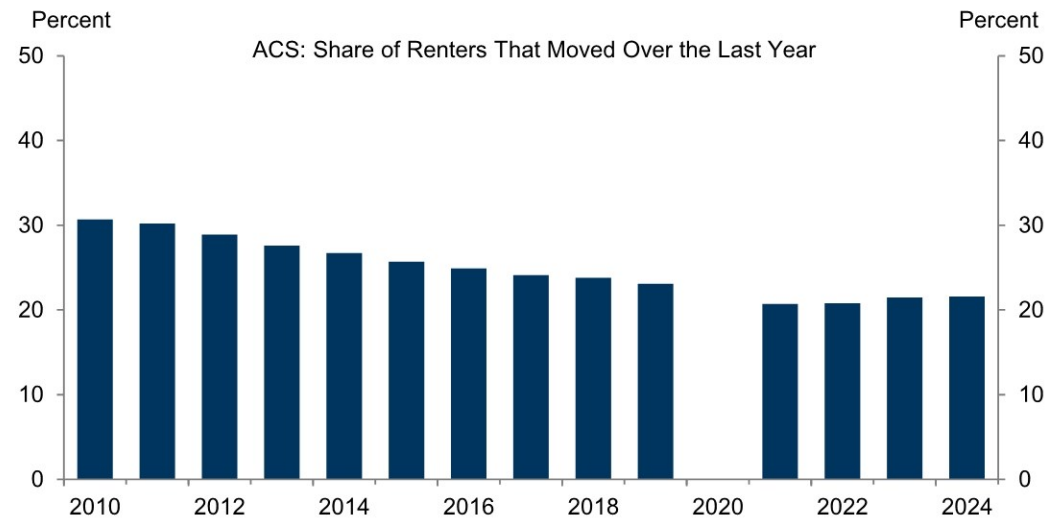
Exhibit 11: We Expect PCE Shelter Inflation to Fall From 3.2% Year-over-year in May to 2.9% by December 2026 and 2.2% by December 2027, Below the Pre-pandemic Rate



Source: Department of Commerce, Goldman Sachs Global Investment Research

If new-lease rent growth has been running close to 1% for more than a year, why wouldn't the official measures eventually converge to that slower pace? As alluded to above, the official measures of shelter inflation capture rents for both new and continuing leases. While new-lease rent growth has been running soft, only a modest share of tenants move each year (Exhibit 12) and continuing leases for existing tenants tend to see steadier price increases, both when market conditions are slack (because of the costs to moving) and when market conditions are tight (because landlords risk losing a tenant if the increase is too sharp and in some instances there are caps to increases).

Exhibit 12: Because Continuing Leases Get Steadier Rent Increases, the Modest Share of Tenants That Move Each Year Limits How Far the Official Measures of Shelter Inflation Can Fall

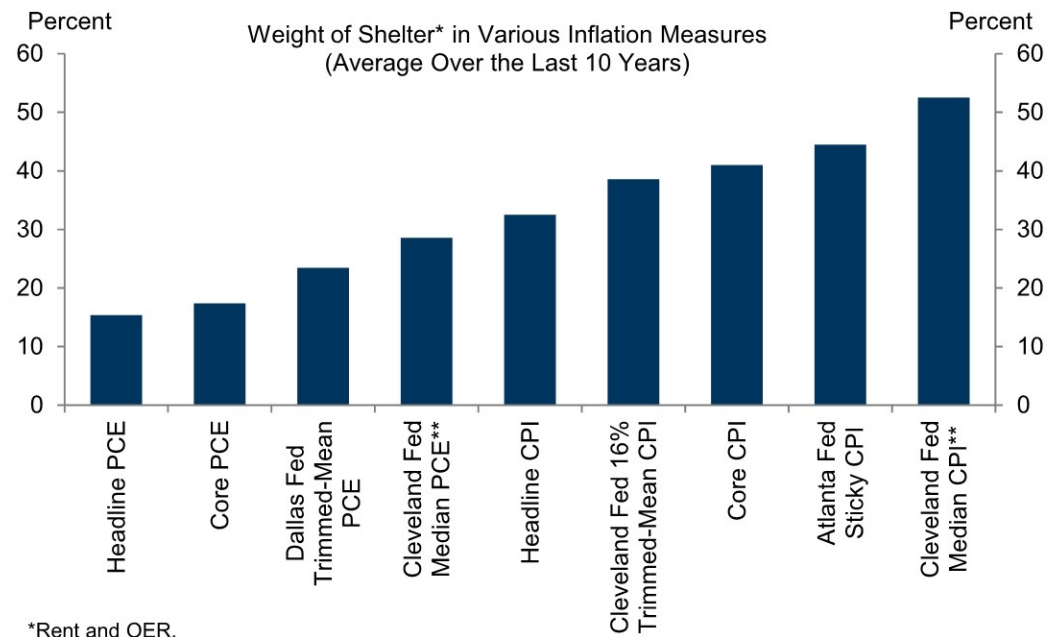


Note: Census did not release an official estimate for the 2020 ACS because of the impact of the pandemic on data collection.

Source: Department of Commerce, Goldman Sachs Global Investment Research

Nevertheless, we expect the further slowdown in shelter inflation to contribute to resumed disinflation, especially in measures of inflation designed to capture the underlying trend. Exhibit 13 shows that shelter inflation has an outsized weight in every measure of the underlying inflation trend that Fed officials watch, especially CPI-based measures.

Exhibit 13: Shelter Has an Outsized Weight in Nearly Every Measure of the Underlying Inflation Trend



*Rent and OER.

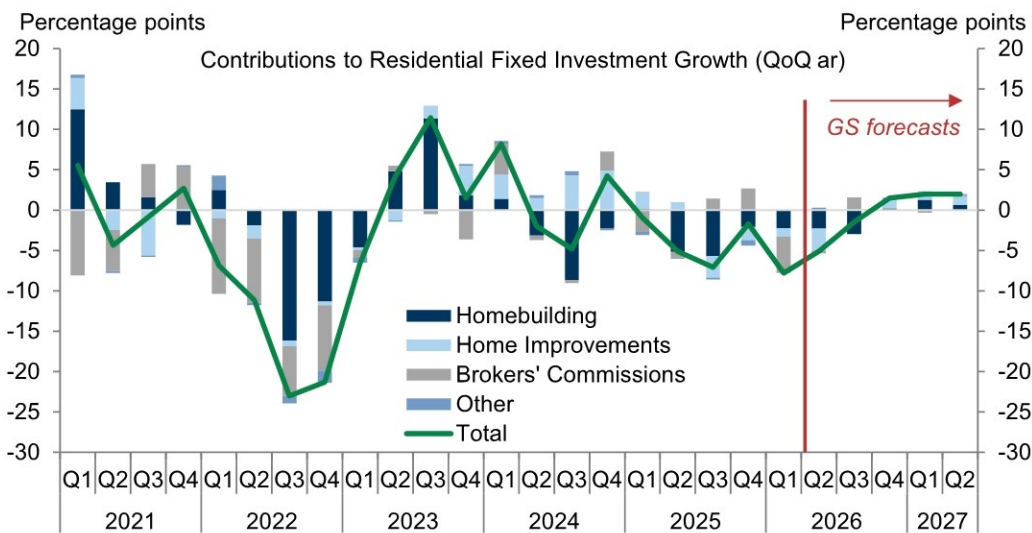
**Equivalent to the frequency of which shelter is the median. Because shelter is typically near the center of the inflation distribution, small fluctuations in the component can have a disproportionate impact on the median.

Source: Goldman Sachs Global Investment Research

Stabilizing But Subdued Residential Fixed Investment Growth

Taken together, we forecast residential fixed investment (RFI) growth of -1.5% and +1.5% annualized in 2026Q3-Q4, reflecting a drag from homebuilding that is offset by growth in renovations spending and slightly higher home sales. Our forecasts imply RFI growth of -3.2% in 2026 on a Q4/Q4 basis vs. -3.8% in 2025 and our previous forecast of -3.0%.

Exhibit 14: We Expect Contracting Homebuilding to Weigh on Residential Fixed Investment in Q3 and Q4



Source: Department of Commerce, Goldman Sachs Global Investment Research

Ronnie Walker

The US Economic and Financial Outlook

THE US ECONOMIC AND FINANCIAL OUTLOOK

(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	2025 Q4	2026 Q1	2026 Q2	2026 Q3	2026 Q4	2027 Q1	2027 Q2	2027 Q3	2027 Q4
OUTPUT AND SPENDING														
Real GDP	2.9	2.8	2.1	2.1	2.0	0.5	2.1	2.2	1.9	1.9	2.0	2.1	2.2	2.3
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.0	2.0	2.1	2.0	2.7	2.3	1.6	2.0	2.0	2.0	2.1	2.1
Consumer Expenditures	2.6	2.9	2.6	1.7	1.8	1.9	0.5	1.7	1.5	1.5	1.9	2.0	2.1	2.2
Residential Fixed Investment	-7.8	3.2	-2.2	-4.6	1.0	-1.7	-7.8	-5.1	-1.5	1.5	2.0	2.0	2.0	2.3
Business Fixed Investment	7.3	2.9	4.1	6.8	5.8	2.4	10.6	7.9	7.5	6.9	4.9	4.9	4.9	4.9
Structures	16.7	1.1	-5.3	-3.6	2.1	-6.6	-4.7	0.7	-1.0	-0.2	3.5	3.5	3.5	3.5
Equipment	2.9	3.5	8.3	10.6	7.1	4.3	15.8	14.7	11.0	9.5	5.0	5.0	5.0	5.0
Intellectual Property Products	6.2	3.5	5.6	8.5	6.2	5.4	13.8	5.0	8.2	7.8	5.5	5.5	5.5	5.5
Federal Government	3.3	3.8	-1.2	-1.4	0.8	-16.7	9.4	-2.0	1.0	1.0	1.0	1.0	1.0	1.0
State & Local Government	3.6	3.8	2.5	1.4	0.9	1.5	1.6	0.8	0.5	1.0	1.0	1.0	1.0	1.0
Net Exports (\$bn, '17)	-925	-1,033	-1,091	-1,084	-1,173	-969	-1,002	-1,086	-1,113	-1,134	-1,150	-1,165	-1,181	-1,197
Inventory Investment (\$bn, '17)	47	44	29	43	65	-16	-17	60	65	65	65	65	65	65
Nominal GDP	6.7	5.3	5.0	6.0	4.7	4.2	5.8	8.7	3.8	4.1	4.6	4.7	4.5	4.3
Industrial Production, Mfg.	-1.0	-1.0	0.8	3.1	3.8	-3.5	4.4	7.6	4.8	3.9	3.3	3.2	3.2	3.3
HOUSING MARKET														
Housing Starts (units, thous)	1,421	1,370	1,356	1,347	1,372	1,323	1,418	1,299	1,323	1,348	1,362	1,365	1,375	1,385
New Home Sales (units, thous)	666	684	679	631	649	711	623	590	649	661	636	642	649	670
Existing Home Sales (units, thous)	4,103	4,067	4,076	4,168	4,255	4,157	4,053	4,160	4,226	4,234	4,243	4,251	4,260	4,268
Case-Shiller Home Prices (%yoy)*	5.3	3.8	1.3	1.1	2.4	1.3	0.8	1.1	1.6	1.1	1.1	2.0	2.2	2.4
INFLATION (% ch, yr/yr)														
Consumer Price Index (CPI)**	3.3	2.9	2.7	3.3	2.2	2.7	2.7	3.9	3.4	3.3	3.0	2.0	2.2	2.2
Core CPI **	3.9	3.2	2.6	2.6	2.2	2.7	2.5	2.8	2.5	2.6	2.5	2.2	2.2	2.2
Core PCE** †	3.1	3.0	3.0	3.0	2.2	2.9	3.1	3.4	3.2	3.1	2.6	2.3	2.3	2.2
LABOR MARKET														
Unemployment Rate (%)^	3.8	4.1	4.4	4.4	4.3	4.4	4.3	4.2	4.3	4.4	4.4	4.3	4.3	4.3
U6 Underemployment Rate (%)^	7.2	7.6	8.4	8.3	8.2	8.4	8.0	7.9	8.2	8.3	8.2	8.2	8.2	8.2
Payrolls (thous, monthly rate)	210	122	10	67	50	-39	73	111	40	45	50	50	50	50
Employment-Population Ratio (%)^	60.1	59.9	59.7	58.9	58.8	59.7	59.2	59.0	58.9	58.9	58.8	58.8	58.8	58.8
Labor Force Participation Rate (%)^	62.5	62.5	62.4	61.5	61.4	62.4	61.9	61.5	61.6	61.5	61.5	61.5	61.5	61.4
Average Hourly Earnings (%yoy)	4.4	3.9	4.0	3.9	3.8	4.0	4.0	4.0	3.9	3.8	3.8	3.8	3.8	3.8
GOVERNMENT FINANCE														
Federal Budget (FY, \$bn)	-1,694	-1,833	-1,775	-1,950	-2,050	--	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS														
FF Target Range (Bottom-Top, %)^	5.25-5.5	4.25-4.5	3.5-3.75	3.5-3.75	3-3.25	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.25-3.5	3.25-3.5	3-3.25
10-Year Treasury Note^	3.88	4.58	4.18	4.40	4.25	4.18	4.30	4.44	4.45	4.40	4.35	4.30	4.25	4.25
Euro (€/€)^	1.11	1.04	1.17	1.18	1.20	1.17	1.15	1.14	1.19	1.18	1.19	1.20	1.20	1.20
Yen (\$/¥)^	141	157	157	158	141	157	159	163	158	158	156	141	101	141

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

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Disclosure Appendix

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Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

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